

tion is at the centre of the commodity business. Thus, we are expanding direct coverage and at the end of Q1FY25 we were at the level of 740,000 retail outlets. Through wholesalers we reach some 2.1 million outlets, which is about 50% of the total 4.2 million retail outlets in India that sell edible oils. Among cities, we cover all that have a population of more than 100,000. We started some years ago in the rural [areas], and now cover around 30,000 villages, which I expect to go up to 50,000 by the end of the year. The number may look small in comparison to the 640,000-odd villages that India has. But only 20% of these villages contribute 80% of the sector's sales. Thus, 125,000 villages form the cream, and out of these, 20,000 villages contribute 60% of the revenues, which we have already covered. Our aim is now to reach 75,000 villages, which will practically cover 80% of the market.

Q: Are you expanding manufacturing capacity?

A: In terms of manufacturing, we now have 23 plants of our own, and 46 tolling units that are run and managed by Adani Wilmar but not owned by it. Moreover, we have 96 depots spread across the country that cover the remotest of areas. With 4 million sq. ft of warehousing space and 10,000-odd distributors, the network is well-equipped to reach as many customers as possible.

Additionally, 60% of our dispatches are direct that further helps us in cutting costs. Each factory will supply directly to the distributors without going into the depot. So, **we eliminate the loading, unloading and any consequent damages, and we pass on some benefit to the distributors.**

Q: What are your capex plans?

A: The last capex cycle started in April 2022 and lasted till about March 2024... of the total ₹3,600 crore of IPO proceeds, ₹2,200 crore was utilised as capex and the resultant assets... Additionally, ₹1,200-crore capex was earmarked for FY24, out of which some of the projects are already complete... In FY25, we have another ₹700-800 crore capex for capacity expansion.

Q: Are you concerned about the consumption slowdown?

A: After Covid-19, incomes got impacted while most small and medium businesses like restaurants suffered. This, coupled with the war in Ukraine, steep rise in commodity prices, and the cost of ocean freight added to the burden and put us under a lot of pressure. Ocean freight has jumped three times. Further, the monsoon was not good in several key states last year, which further aggravated the situation.



“Just like a farmer increases his yield by planting different crops on the same land according to the season, integrating the plants with more products reduces the cost of operations”

Looking ahead, I expect the monsoon to be good—resulting in higher income for the rural households and, thus, demand revival. The government is also keen on beating this slowdown and is investing significantly as it has announced in the Budget. Having said that, a good monsoon leading to better crops is the most crucial factor. **BT**

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